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From: CustomerNotices, WGP Hou [mailto:WGP Hou.CustomerNotices@Williams.com]

Sent: Monday, February 25, 2002 11:51 AM

Subject: System Imbalance Notice

February 25, 2002

To: Transcontinental Gas Pipe Line Corporation Customers and Shippers

Re: System Imbalance Notice

Transco has traditionally experienced significant negative transportation imbalances (deliveries in excess of receipts) on its system when cash out index pricing is significantly lower than spot gas pricing. Based upon current gas prices and current index averages, in addition to a significant increase in market loads for the balance of the month, it is likely Transco will experience significant negative imbalances.

Transco reminds its customers and shippers that, according to Section 5.2 of Rate Schedules FT and IT, they "have the responsibility to adjust and maintain a concurrent balance between receipts and deliveries". Transco expects all parties to adhere to this requirement to ensure that there will be no loss in Transco's operational flexibility.

Transco will closely monitor system conditions and, if shippers and customers do create significant negative imbalances, Transco may be required to initiate restrictive practices at its pooling points and disallow make-up transportation.

If you have any questions, please call Terry Fitch at (713) 215-3361 or John McGrath at (713) 215-2514.

Terry C. Fitch
Manager
Gas Operations